

Canary Media - Clean Energy News Aggregation
Generated: August 19, 2025 at 09:17 PM

Source: <https://www.canarymedia.com/rss.rss>

Total Articles: 1 --- ## Come to America and

lose 1B: Trump drives more offshore wind pain

****Published:**** August 19, 2025 ****URL:**** <https://www.canarymedia.com/articles/offshore-wind/orsted-financial-struggles-trump-revolution-sunrise>
Europe's largest wind energy company was brought to its knees last week by a market it helped create. Ørsted, the Danish energy giant that constructed the first wind turbines in U.S. federal waters just five years ago, needs \$9.4 billion to complete its two remaining U.S. offshore wind projects and to continue to be financially sound enough to build wind farms elsewhere — likely in places far away from the United States. During its Aug. 11 earnings call, Ørsted blamed its funding needs on “adverse developments” in the U.S. market, referring to the political risk, red tape, and tax credit changes created in recent months by Trump administration policies. Ørsted's investor presentation described these MAGA headwinds as “unexpected developments outside our control.” The announcement follows a series of setbacks for foreign offshore wind developers that were once seen as essential to fulfilling the decarbonization goals set by the U.S. government and many Northeastern states. In January, the U.K.'s Shell exited the now-defunct

Atlantic Shores wind project slated for the waters near New Jersey, absorbing a \$996million loss. In late July, Norway's Equinor announced a \$955million impairment from unexpected changes and delays to its Empire Wind project, which President Donald Trump tried —and failed— to cancel. Though intensified by the current administration, the industry's financial troubles began even before Trump took office. One year ago, Ørsted announced a \$575million impairment due in part to delays on its 704-megawatt Revolution Wind project near Rhode Island. Two years ago, it booked a more than \$5billion impairment from its scrapped Ocean Wind 1 and 2 projects off New Jersey's coastline. "‘Come to America and lose a billion dollars' should be the headline of your article," said Elizabeth Wilson, a wind energy expert and professor of environmental studies at Dartmouth College, in an interview with Canary Media. Denmark, which owns half of Ørsted, is backing the new fundraising effort in which the company will issue new shares worth about 45% its total value. It's a fallback plan resulting from Ørsted's failure to sell part of its ownership stake in Sunrise Wind, a 924-megawatt wind farm under construction near Long Island, New York. The project is more than one-third of the way built and is slated for completion by the end of 2027, but no one wanted to buy into it at a workable price. Selling

off a stake of Sunrise Wind was always part of the plan; the proceeds were meant to cover a large chunk of its construction. Now that would-be buyers are avoiding Trump's chaos, Ørsted is left footing the entire bill. The firm's other active U.S. project, Revolution Wind, is 80% complete and is expected to be fully operational by the second half of 2026, the company announced during the call. But despite assurances that both Revolution Wind and Sunrise Wind will be finished, even at a steep cost to the firm, Ørsted — according to Wilson — is unlikely to invest in American offshore wind again. Ørsted did not respond to a request for comment by publication time. “What developers really need is market certainty,” said Wilson, who wasn't surprised that Ørsted could not find a buyer for Sunrise Wind. Trump's presidency has brought too much risk, she explained. Trump issued an executive order on Inauguration Day that froze all offshore wind permitting and leasing pending a federal review. Seemingly safe at the time were eight projects, including Ørsted's Sunrise Wind and Revolution Wind, that already had all their federal permits in hand. Of those fully permitted projects, the 2.8-gigawatt Atlantic Shores project off the New Jersey coast has since fallen apart. Two more are likely to be mothballed — MarWin near Maryland and New England Wind off the Massachusetts coastline

— since they probably won't qualify for the wind-energy tax credits that Trump's July megabill sent to an early grave. Trump did not kickstart the sector's problems — he simply poured gasoline on the fire. The financial struggles offshore wind developers faced in 2023 and 2024 were caused not by political headwinds, but instead by inflation, high interest rates, pandemic-related supply chain issues, and the U.S.'s lengthy approval process for new projects compared to Europe or Asia. Beyond Ørsted and Equinor, other foreign developers like BP and Avangrid also canceled or attempted to renegotiate contracts during this time. By fall 2023, it was already clear that the industry would struggle to meet the Biden administration's ambitious goal of building 30 gigawatts of offshore wind capacity by 2030 — a target that helped spark the rush of European investment into U.S. wind lease auctions and projects. Analysts at BloombergNEF predicted at the time that just 16.4 GW would be built by the decade's end. Soon after Trump took office, Barbara Kates-Garnick, a professor of energy policy at Tufts University, told Canary Media that America would fall short of 5 GW of offshore wind power generation — less than 20% of former President Joe Biden's original goal. Now, with major European wind developers losing billions and looking for the door,

reaching even that figure will be an achievement. Clare Fieseler, PhD, is a reporter at Canary Media covering offshore wind. Distributed energy resources ---